THE TRADING FOUNDRY

TRADING FOUNDRY UNIVERSITY · PLAYBOOK 3 OF 15 · BEGINNER

Candlestick Price Action

Interpreting individual candlesticks and small clusters — pin bars, engulfing bars, inside bars — as evidence of buying and selling pressure at meaningful locations.



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Educational content only — not financial advice. Capital at risk.

Watch the Film, Then Read the Book

This playbook goes deeper than the video can. Watch the companion film first for the method in motion, then work through the chapters at your own pace. Scan a code with your phone camera.

COMPANION FILM

Why Most Traders Can't Read Charts (And How To Fix It)

youtube.com/watch?v=UhTu8vVk4Xg

Candlestick Price Action

The Complete Course

Trading Foundry University — Playbook 3 of 15

First Edition — 2026

> *This book is educational content only. Nothing in it is financial advice, and nothing in it is a recommendation to buy or sell any currency pair or any other instrument. Every chart example is an illustration of a technique, not a signal. Trading foreign exchange involves a substantial risk of loss and is not suitable for everyone. Test everything on a demo account before you risk a penny, and never trade money you cannot afford to lose.*

How to Use This Book

This is a short book about a small subject: what a single candlestick — or a cluster of two or three — can tell you about the fight between buyers and sellers. Small subject, big consequences. Most traders look at candles all day and read none of them. By the end of this course you'll read them the way a scout reads a striker's body shape before the ball arrives.

Read the book twice. The first pass is for the ideas: what a wick actually is, why an engulfing bar matters, why the same pin bar is gold at one price and garbage at another. The second pass is for the discipline — the checklists, the entry and stop logic, the journalling routine in Chapter 9. On the first read you'll nod along. On the second read you'll start arguing with us. That's when it's working.

Do the chart work. Every chapter ends with something you can go and find on a real chart. Open your platform, pick two or three majors — GBP/USD, EUR/USD, USD/JPY are fine — and hunt for the patterns yourself on the daily and four-hour charts. Ten examples you found beat a hundred we could show you. Candlestick reading is a perceptual skill, like sight-reading music. You only build it by looking.

Keep a notebook. Physical or digital, doesn't matter. When you find a pin bar at a level, screenshot it, write down what you think it means, then check back a week later. You will be wrong a lot at first. Write that down too. The notebook is where your opinions get audited, and Chapter 9 turns it into a full journalling system.

Go at your own pace. The chapters build in order — anatomy first, patterns second, context third, execution fourth — so don't skip ahead to entries and stops before you've done the reading work. There's no prize for finishing fast.

Finally: the companion videos for this course are free on the Trading Foundry YouTube channel (@thetradingfoundry). Watch the video for a chapter after you've read it, not instead of reading it. The book does the thinking; the videos do the pointing.

Chapter 1 — How to Read a Candlestick: Anatomy and Meaning

Four prices, one story

A candlestick is the least mysterious thing on your chart. It is four prices — open, high, low, close — drawn as a picture. The body is the distance between the open and the close. The wicks (some say shadows, we say wicks) are the excursions beyond the body: the high above, the low below. If the close is above the open, the candle is bullish and usually coloured green or white. If the close is below the open, it's bearish — red or black. That's the whole anatomy. You could learn it in a minute.

What takes longer is learning what the anatomy *means*, because a candle isn't really a picture of price. It's a picture of an argument. Every candle on your chart is the compressed record of an auction: buyers and sellers meeting over a fixed window of time, and the candle telling you who won, by how much, and how hard the loser fought.

Take a strong bullish candle on the daily chart of, say, EUR/USD — big green body, tiny wicks. What actually happened during those 24 hours? Price opened, buyers took control early, sellers offered almost no resistance at any point (that's why the wicks are small), and the session closed near its high. One candle, and you know the balance of the whole day: buyers dominant, sellers absent. Now take a candle with the same open and close but a long lower wick. Different story entirely. At some point sellers drove price well below the open — and got completely reversed. Someone with size stepped in and bought the dip. The close is the same; the journey is not. The wick is the evidence of the fight.

This is the core idea of the whole book, so let's put it plainly: **the body tells you the result; the wicks tell you the struggle.** Learn to read both and you're reading order flow with your eyes — no fancy tools required.

The close is the headline

Of the four prices, the close is king. The open is where the argument started; the high and low are where it wandered; the close is the verdict. It's the last price at which the market as a whole agreed to do business in that window, and it's the price every trader holding a position is marked against as the candle completes.

This is why experienced price-action traders wait for candles to close before drawing conclusions. Halfway through a daily candle, GBP/USD might look like a monstrous bearish bar. By the close it might be a long-wicked reversal candle that means the opposite. Judging a candle before it closes is like reporting a match score at half-time and going home. The information is in the finish.

A practical habit to build now: whenever you look at a candle, ask "where did it close within its own range?" A close in the top quarter of the range says buyers finished on top, whatever happened in between. A close mid-range says nobody won. A close in the bottom quarter says sellers had the final word. That single question — *where's the close?* — will do more for your chart reading than any indicator you'll ever install.

Every candle contains a chart

Here's the bit beginners miss. A daily candle is not an atom; it's a molecule. Inside that one daily bar are 24 hourly candles, 96 fifteen-minute candles, an entire day's worth of structure. A long lower wick on the daily is, on the hourly chart, a visible sell-off followed by a visible rally — a V-shaped reversal you could watch happen in real time. The candle is a compression algorithm. It throws away the sequence and keeps the summary.

That cuts both ways. The summary is powerful because it filters noise: you don't need to know every twitch of the hourly chart to know that Tuesday's daily candle was a rejection of lower prices. But the summary can also mislead, because two very different days can produce identical candles. A slow, orderly grind higher and a violent news spike that happened to close high print the same green bar. Later in the course (Chapter 6 onwards) we'll deal with this by insisting on context — where the candle formed and what came before it — rather than treating any single bar as an oracle.

One more thing before we move on: keep your chart clean while you learn this. A candle you can barely see behind six indicators is a candle you can't read. Price action work rewards a stripped-back chart — candles, perhaps one or two reference tools, and space to think.



Figure. The same market shown on a cluttered chart and a clean one. Candlestick reading is a visual skill: if you can't see the bodies and wicks clearly, you can't read the auction they record.

Timeframes and honesty

Which timeframe should you read candles on? While you're learning: daily and four-hour. Not because lower timeframes don't work, but because higher-timeframe candles summarise more participants and more money, so their verdicts are more reliable — and because they form slowly enough that you can think rather than react. A daily pin bar is the fingerprint of thousands of participants over a full session. A one-minute pin bar can be one bored algorithm. Same shape, wildly different weight.

Be honest with yourself about what a candle is: evidence, not prophecy. A candle tells you what buyers and sellers *did*. It does not guarantee what they'll do next. Everything in this book is about stacking evidence until the balance of probability leans your way — never about certainty. Traders who treat candle patterns as magic spells donate their accounts to traders who treat them as evidence. Decide early which group you're in.

> **CHAPTER 1 IN ONE SENTENCE:**
>
> A candlestick is the compressed record of an auction — the body shows who won, the wicks show how hard the loser fought, and the close is the verdict that matters most.

Chapter 2 — Momentum Candles, Indecision Candles and Rejection Candles

Three families, not fifty patterns

Open any candlestick encyclopaedia and you'll find dozens of named patterns — harami, hanging man, three white soldiers, abandoned baby. Memorising them all is a popular way to feel productive while learning nothing. Here's the editorial position of this course, stated bluntly: there are only three families of candle, and every named pattern is a member of one of them.

Momentum candles: large body, small wicks. One side controlled the auction from open to close. **Indecision candles**: small body, wicks either side. Neither side won; price went nowhere on balance. **Rejection candles**: small body, one dominant wick. One side pushed hard and got thrown back. That's the entire taxonomy. Body size tells you conviction; wick placement tells you rejection; the ratio between them tells you which family you're looking at. Once you sort candles this way, you never need the encyclopaedia again — you can read a candle you've never seen a name for.

Momentum candles: conviction on display

A momentum candle (sometimes called a marubozu when the wicks are near-zero) says one thing: during this window, one side was willing to keep paying worse prices to get filled. Buyers lifting every offer, or sellers hitting every bid, from open to close. That willingness — paying up, or selling down — is what conviction looks like on a chart.

Two useful readings follow. First, momentum candles in the direction of an established trend are the trend breathing normally; they tell you the dominant side is still dominant. Second — and this is the one traders underuse — a sudden, unusually large momentum candle *against* the recent direction is one of the earliest signs the balance is shifting. Suppose USD/JPY has drifted upward for two weeks in small green candles, then prints one bearish candle bigger than the previous five combined. Something changed. You don't need to know what (a central banker sneezed, a fund repositioned — you'll rarely know). The candle is the footprint, and footprints don't lie about direction.

A caution: momentum candles are the *worst* candles to chase. By the time a huge candle has closed, the move it describes has already happened, and buying the close of a giant green bar means paying the most expensive price of the day. Momentum candles are for reading the market's intent, not for jumping aboard. We'll handle entries properly in Chapter 8.

Indecision candles: the market shrugging

An indecision candle — the doji is the famous one, with open and close nearly equal — records an auction that ended in a draw. Price wandered up, wandered down, and settled roughly where it started. Small body, wicks both sides, nobody in charge.



Figure. A doji: open and close nearly equal, wicks either side. The market travelled and settled where it started — a recorded draw between buyers and sellers, meaningful mainly for what it interrupts.

Beginners are taught that a doji "signals reversal". That's half-true and fully dangerous. A doji signals *pause*. Whether the pause becomes a reversal depends entirely on where it happens. A doji after a long run into a significant resistance area is interesting: the trend's conviction just flickered exactly where sellers were expected to show up. A doji in the middle of a sideways range is nothing at all — the market was undecided in a place where indecision is the default state. Ranges are made of dojis the way puddles are made of rain.

So read indecision candles as questions, not answers. After a strong trend, a doji asks: "is the dominant side tiring?" You answer it by watching what happens next. If the following candle resumes the trend with a solid body, the answer was no. If the following candle reverses hard, the doji was the hinge. The doji itself never knew.

Rejection candles: the market saying no

The third family is the most tradeable, which is why it gets two full chapters of its own (Chapters 3 and 4 cover pin bars and engulfing bars, the two great rejection structures). A rejection candle has a long wick on one side and a small body pushed to the other end of the range. The long wick is the market's handwriting for the word *no*. Price visited those

levels — and was refused. Sellers drove GBP/USD down to some level intraday; buyers absorbed everything on offer and drove it all the way back before the close. The lower wick is the receipt for that transaction.

Rejection matters more than indecision because it's active rather than passive. A doji says nobody committed. A long wick says one side committed hard, in size, at a specific price area — and won. That's information about where real orders live, which is exactly the information a price-action trader is hunting.

Reading the sequence, not the specimen

One last discipline before we go pattern by pattern: candles are sentences, not words in isolation. Three shrinking momentum candles in a row tell you a trend is decelerating even though every individual candle is "bullish". A momentum candle, then a doji, then a rejection candle against the move is a paragraph: conviction, hesitation, refusal. Practise narrating charts this way, out loud if you have to — "buyers pushed, buyers pushed smaller, buyers stalled, sellers rejected." It feels silly. It builds the exact skill this course exists to teach. Go and narrate twenty candles on a daily chart tonight; sort every one into its family before reading on.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> Every candle belongs to one of three families — momentum (conviction), indecision (a draw) or rejection (a refusal) — and sorting candles into these families beats memorising fifty pattern names.

Chapter 3 — Pin Bars and Wicks: Reading Rejection

Anatomy of a pin bar

The pin bar is the poster child of price action trading, and for once the poster child deserves the fame. A pin bar is a rejection candle taken to its extreme: a long wick — ideally two-thirds or more of the candle's total range — with a small body tucked at the opposite end. A bullish pin has a long *lower* wick and closes near its high: sellers pushed down, buyers slammed the door. A bearish pin has a long *upper* wick and closes near its low: buyers reached up, sellers slapped them back.

The definition matters because pin-shaped candles are everywhere and most of them are worthless. Hold your candidates to a standard: the wick should be long relative to *recent* candles (a "long" wick on a quiet chart may be noise-sized on a volatile one), the body should be small and pushed to the far end, and the close should confirm the rejection — a bullish pin that closes near its low isn't a bullish pin, whatever the wick says. Ideally the wick also protrudes: the tip of it pokes beyond the surrounding candles, showing that price went somewhere new and was refused there. A pin whose wick sits inside the previous candle's range hasn't rejected anything anyone cares about.



Figure. A bullish pin bar probing below a support area and closing back above it. The long lower wick records sellers pushing into the zone and being fully absorbed — rejection at a price where rejection means something.

What the wick actually records

Let's slow the tape down, because the psychology inside a pin bar is the whole lesson. Suppose EUR/USD has fallen for three sessions into an area where price bounced twice earlier in the year. On the fourth day it opens, falls again — breakout sellers pile in, stops from weak longs get triggered, the down move accelerates. Then, somewhere in that old demand area, the selling meets a wall. Every sell order is absorbed. Price starts climbing. The breakout sellers, now underwater, buy back to cover — adding fuel. By the close, price is back above where it opened, and the day prints a long lower wick.

Read what that wick contains: (1) sellers committed real money below the level and lost; (2) a buyer or buyers with enough size to absorb them exists at that area; (3) a population of trapped sellers is now holding losing positions, and their exits are future buying. That third point is underrated. Strong reversals aren't powered only by the winners pressing — they're powered by the losers leaving. A quality pin bar tells you where the losers are.

Wicks, stop runs and the liquidity story

There's a harsher way to describe the same candle, and you should know it. Below every obvious support level sits a cluster of stop-loss orders — sell stops belonging to the traders holding longs from that support. To a large participant who wants to buy in size, that cluster is attractive: push price into the stops, let the triggered selling provide the liquidity, fill the

big buy order at a discount, and let price recover. The chart record of that operation is — a long lower wick. What a retail trader calls "a fakeout that stopped me out then went my way," a price-action reader calls information.



Figure. A stop run: price spikes through an obvious level, triggers the resting stops clustered beyond it, then reverses sharply. The long wick left behind is the footprint of large players using those stops as liquidity to build positions.

We can't prove intent from a chart, and you shouldn't pretend to — plenty of wicks are just news noise. But the *pattern* is robust: obvious levels attract probes beyond them, and the failure of those probes is more informative than the level holding cleanly. A wick through support that closes back above it is stronger evidence of demand than a polite bounce off the level, because it shows the level survived a genuine attack. Counter-intuitive, and true. It also carries a practical warning you'll thank us for in Chapter 8: if wicks routinely probe beyond obvious levels, then stops placed *exactly* at obvious levels are routinely collected. Yours included, unless you place them wisely.

Where pins work and where they don't

Now the discipline. A pin bar is only as good as its address. A bullish pin into a well-established support area, or into a rising trend's pullback zone — worth your attention. The identical candle floating mid-range, rejecting no level anyone can name — worthless, and we mean that literally: it carries no information, because the wick rejected a price nobody was defending. Chapter 6 is devoted entirely to this location question, so here we'll just install the rule: **never evaluate the candle before you've evaluated the address.**

Two further filters. Counter-trend pins are the seductive ones — a bearish pin at the top of a strong uptrend whispers "pick the top." Occasionally it's right; usually the trend rolls over it.

While you're learning, take pin bars that point *with* the higher-timeframe trend and let the hero trades go. And respect timeframe: a daily pin is a session-long verdict; a five-minute pin is a rumour. Same shape, different weight — a distinction Chapter 1 already made and this chapter cheerfully repeats, because repetition is how it sticks.

Your chart work for this chapter: find ten historical pin bars on daily charts of the majors. For each, write down where it formed, whether it met the anatomy standard, and what happened over the next five candles. You'll find the good ones share an address. That's the point.

CHAPTER 3 IN ONE SENTENCE:

A pin bar's long wick is the receipt for a failed attack on a price level — often a stop run providing liquidity to bigger players — and it's only meaningful when the level it rejects is one the market actually cares about.

Chapter 4 — Engulfing Bars and Momentum Shifts

The pattern and the standard

An engulfing bar is a two-candle structure. A bullish engulfing: a bearish candle, followed by a bullish candle whose body completely covers — engulfs — the previous body, closing above the previous open. A bearish engulfing is the mirror: a bullish candle swallowed by a larger bearish one. Where the pin bar records rejection *within* one auction, the engulfing bar records something arguably stronger: a complete reversal of the verdict *between* auctions. Yesterday sellers won; today buyers didn't just win, they erased yesterday's result and pushed further.

As with pins, the textbook definition admits far too many candidates, so hold engulfing bars to a standard too. The engulfing candle should be decisive — a body meaningfully larger than the one it swallows, not 2% larger. It should close near its own extreme: a bullish engulf closing in the top quarter of its range says buyers finished in charge; one that closes mid-range says the counter-attack itself was faltering by the finish. The best examples engulf not just the previous body but the previous *range*, wicks included — some traders call that an outside bar, and the distinction needn't detain us; more coverage is simply more evidence. And an engulfing bar that follows several candles of one-directional movement means far more than one inside chop, because it has an actual verdict to overturn. Two overlapping candles in a sideways mess "engulf" each other constantly and mean nothing.



Figure. A bearish engulfing bar at resistance: a bullish candle swallowed whole by a larger bearish one that closes near its low. Yesterday's buyers are all underwater by the close — a one-candle momentum shift at a price where sellers were expected.

The trapped-trader engine

Why does the pattern carry weight? Not symbolism — positioning. Walk through a bearish engulf at resistance. Day one prints a decent bullish candle into a resistance area. That candle had buyers — breakout hopefuls, momentum followers, latecomers to the trend — and every one of them holds a long position with an entry somewhere inside that green body. Day two opens and sellers take over completely, driving price down through the *entire* previous body and closing below its open.

Now count the wounded. Every buyer from day one is losing money — not some of them, all of them, because the close engulfed every possible entry price in that body. Their choices: hold and hope, or exit. Exiting a long means selling. So the engulfing close doesn't just record one day of selling pressure; it manufactures a queue of *future* selling from trapped longs heading for the door. Add the traders who watched it happen and now want short, and you have the engine of a momentum shift: winners pressing, losers leaving, spectators joining — all pushing the same way. This is why the close matters so much and why we keep telling you to wait for it. Halfway through the session it's just a red candle. The engulf — the trap — only exists at the close.

Engulfing bars as regime information

Here's an angle most beginner material misses: engulfing bars are worth reading even when you have no intention of trading them, because they mark momentum shifts — moments where the balance of power visibly changed hands. Mark every decisive engulfing bar on a daily chart for the past year (do this — it's twenty minutes) and you'll notice they cluster at the turns. Not all turns come with an engulf, and not every engulf produces a turn, but the correlation is strong enough to be useful: a market printing bearish engulfs at every rally is telling you who's in charge now.

This gives you a second use for the pattern: as a *veto*. Suppose you're stalking a long at a support zone, and as price arrives it prints a strong bearish engulfing bar straight through the zone. The pattern isn't inviting you to short; it's telling you your long idea just lost its evidence. Standing aside because of a candle is a decision too — often the best one available, and it costs nothing.

An illustration, not an instruction

Let's make it concrete, with the usual disclaimer welded on: this is an illustration of reading technique, not a trade to copy. Suppose GBP/USD has rallied for six days into a resistance area that capped price twice in recent months. Day seven opens, pushes to a marginal new high — and then sellers take the session, closing below day six's open. Bearish engulf, at resistance, after an extended run, closing near its low. A price-action reader now holds several stacked pieces of evidence: an extended move (tired buyers), a location where sellers acted before (meaningful address), and a two-day verdict reversal that trapped the most recent longs (fresh fuel). No single piece proves anything. Together they lean. What the reader does about the lean — pass, watch, or risk a small, pre-planned amount within a tested framework — is Chapter 8's business. What matters here is that the read is *built*, piece by piece, not divined from one magic candle.

And when the read is wrong — it often will be; suppose price shrugs and closes at new highs two days later — the engulf wasn't "fake." It was evidence that got outweighed. Traders who need patterns to be promises rage at the market. Traders who treat them as evidence update and move on. Cheaper, and better for the blood pressure.

> **CHAPTER 4 IN ONE SENTENCE:**
>
> An engulfing bar overturns the previous candle's entire verdict and traps everyone who backed it, making it the clearest one-candle record of a momentum shift — strongest at a meaningful level, after a directional move, with a decisive close.

Chapter 5 — Inside Bars and Compression

The quietest pattern on the chart

After two chapters of drama — rejections, traps, momentum shifts — meet the introvert. An inside bar is a candle whose entire range, high to low, sits *inside* the range of the previous candle (the "mother bar"). No new high, no new low. The market did less than it did before.

It's easy to dismiss, and most traders scroll straight past. That's a mistake, because the inside bar records something the loud patterns can't: **compression**. Markets breathe — they expand (trending, breaking, running) and they contract (pausing, coiling, agreeing). An inside bar is a single-candle contraction: volatility shrinking, ranges narrowing, both sides pulling back from the fight. And contraction is interesting for one reason above all: it doesn't last. Compressed markets expand. The inside bar doesn't tell you *which way* — that's the honest limitation, and we'll respect it all chapter — but it tells you the spring is being wound, and it hands you something rarer than a prediction: a cheap, well-defined line in the sand on either side.

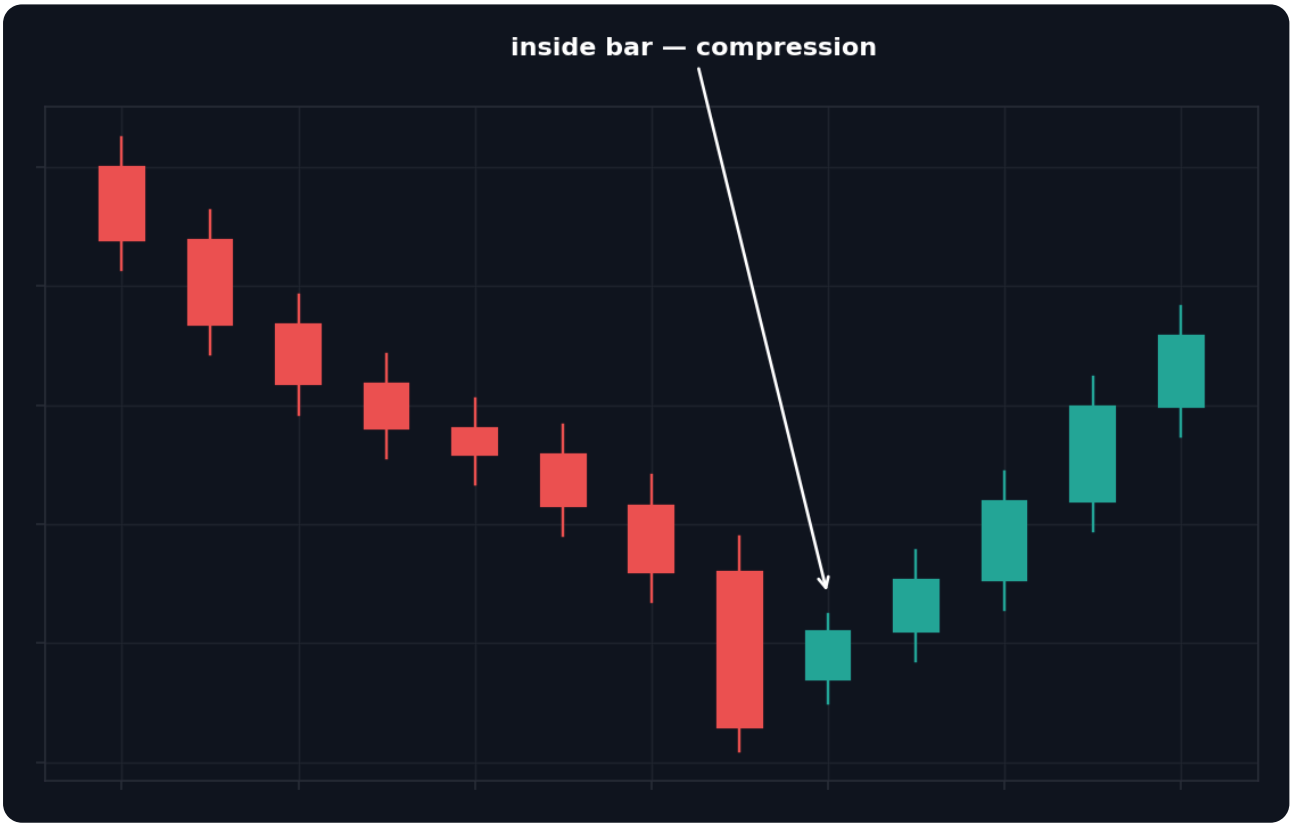


Figure. An inside bar: the second candle's full range sits within the mother bar's range. Volatility is contracting — the market is coiling, and the mother bar's high and low become the tripwires for the next expansion.

Two readings: continuation and hesitation

Context — again, always — decides what an inside bar means. There are two clean readings.

Reading one: the trend catching its breath. In a strong trend, an inside bar after a momentum candle is often just digestion. Suppose USD/JPY prints a large bullish candle, then a small inside bar. The likely story: buyers who drove the move are holding, not selling; would-be sellers aren't confident enough to push for new lows; the market is consolidating gains before continuing. Old-school traders reading tickertape called this a rest. Inside bars *with* the trend, after momentum, are among the friendlier continuation structures in price action — the pause that refreshes rather than the pause that reverses.

Reading two: hesitation at a decision point. An inside bar that forms as price arrives at a significant level — a major resistance, a prior swing — reads differently. The market walked up to the door and stopped. Neither side wants to commit at this price until the question ("does the level hold?") is answered. Here the inside bar is a genuine fork, and pretending you know which way it resolves is exactly the false confidence this course keeps trying to squeeze out of you. What you *can* do is prepare for both answers, which is precisely what the pattern's structure allows.

Occasionally you'll see multiple inside bars stack — each candle inside the last, a Russian-doll coil of shrinking ranges. Treat stacked inside bars as compression squared: the eventual expansion tends to be sharper for the wait, and the same break/fail logic below applies, with the fireworks turned up.

How the pattern resolves — and how it lies

The mechanics of resolution are beautifully simple, which is why inside bars are beloved by traders who like rules. The mother bar's high and low become the tripwires. A push through the mother-bar high suggests bullish resolution; through the low, bearish. Compression, then expansion, direction revealed at the break. Tidy.

Except markets read the same books we do, and obvious tripwires attract the same behaviour we met in Chapter 3: the false break. Price pokes through the mother-bar high, triggers the breakout buyers and the shorts' stops, then reverses and drives out the *bottom* of the pattern. The inside-bar fakeout is common enough that you should treat it as a feature of the pattern, not a betrayal — and here's the reframe that separates readers from victims: a failed break is itself information, often better information than a clean one. If price breaks the mother-bar high and is immediately, decisively rejected, you've just watched the bullish resolution get tested and fail in real time. The population that bought the break is trapped. The path of least resistance has declared itself — downward — more convincingly than a clean downside break would have, because the upside was actually *tried*. Chapter 3's stop-run logic and this chapter's compression logic are the same lesson wearing different candles: probes beyond obvious lines, and their failures, are where the information lives.

So the practised read of an inside bar has three parts: note the compression, mark both tripwires, and — this is the part beginners skip — decide *in advance* what a break, a failed

break, and continued coiling would each mean. Do the thinking while the market is quiet. That's the entire luxury the inside bar offers: it's the one pattern in this book that gives you time.

Chart work

This chapter's homework: find fifteen inside bars on daily charts of the majors. Sort them into the two readings — mid-trend digestion or decision-point hesitation. For each, record which tripwire broke first, and whether the first break held or failed. Keep the tally in your notebook; it becomes raw material for Chapter 9. You're not looking for a win rate. You're training your eye to see compression and expansion as the market's breathing — because once you see that rhythm, you'll never look at a "boring" candle the same way again.

CHAPTER 5 IN ONE SENTENCE:

An inside bar records volatility compressing — a coiled spring with tripwires at the mother bar's high and low — and since compressed markets expand but don't announce the direction, its false breaks are often more informative than its clean ones.

Chapter 6 — Context Is Everything: Patterns at Levels vs Patterns in Space

The chapter that makes the other eight work

If this book had to be cut to one chapter, it would be this one. Every pattern you've learned — pin, engulf, inside bar — is location-dependent, and the single most expensive habit in retail price action is trading the pattern while ignoring the address. Beginners scan for shapes. The market pays people who read *situations*.

Here's the principle in one line: **a candle pattern is a record of a fight, and a fight only matters if it happened over territory worth fighting for.** A bullish pin bar is evidence that sellers attacked a price and lost. If that price is a level the market has defended before — territory — the evidence is significant: it confirms defenders are still there. If that price is the featureless middle of last week's range, the same wick is a scuffle in an empty car park. Nobody was defending anything; nothing was proven. Same candle. Same anatomy. Completely different meaning.

We call the second kind "patterns in space" — floating free, anchored to nothing. Your scanner, your Twitter feed and your own pattern-hungry eyes will serve you a dozen of them a day. The discipline of this chapter is learning to let them all go by.

What counts as a level

So what earns the word "level"? Not every line you can draw — a level is a price area where you have *evidence* that meaningful orders have acted before. The core list is short:

Horizontal support and resistance. Areas where price has reversed or stalled repeatedly. The more touches, the more clearly the market has voted there — though be aware that heavily-tested levels also accumulate the biggest stop clusters beyond them, which is Chapter 3's stop-run story waiting to happen.

Swing highs and swing lows. The turning points of recent structure. Prior swing points are where trapped traders' break-even orders and fresh stop orders congregate — an address with residents.

Broken levels being retested. Old resistance retested as support, and vice versa — among the most reliable addresses in trading, because the population that traded the break has skin in the game at exactly that price.

Round numbers and session extremes, as secondary evidence: psychologically sticky prices where orders cluster.

Notice the word *area*, used deliberately. Levels are zones, not lines. Forex is decentralised; nobody rings a bell at 1.2500 exactly. Draw your levels as bands a few pips deep on intraday charts, wider on dailies, and stop feeling betrayed when a wick overshoots your line by three pips — Chapter 3 told you it would.



Figure. A support zone respected three times. Each revisit that holds is another recorded vote that buyers defend this area — and a candle pattern printed at a zone like this inherits all of that history as context.

Confirmation and coincidence

Here's the cleanest way to think about the marriage of pattern and level, and it's worth reading twice: **the level is the hypothesis; the candle is the test result.** A support zone gives you a theory — "buyers may defend this area." On its own, the theory is untested each time price returns; the level might be spent. Then price arrives and prints a strong bullish pin bar: sellers pushed into the zone and were absorbed. The theory just passed a live test. Level plus pattern isn't two separate signals added together; it's a prediction and its confirmation. That's why the combination outperforms either component alone, and why a pattern in space — a test result with no hypothesis — proves nothing.

Run the illustration both ways. Suppose EUR/USD approaches a daily demand zone that has launched two rallies this year. Price enters the zone and prints a long-tailed bullish pin closing back above it. Hypothesis tested, hypothesis supported; a price-action reader leans bullish and starts thinking about Chapter 8. Now rerun the tape: price approaches the same zone but stalls 40 pips *above* it and prints an identical pin. What was rejected? Nothing anyone was defending. The honest read is "no information" — and the discipline is to say so, out loud if needed, and sit on your hands. In our experience the hardest skill in this entire course isn't spotting the pattern at the level; it's *declining* the pattern in space when it's shapely and you're bored.

The waiting game

This chapter has a psychological cost, so let's name it. Requiring location slashes your number of candidate setups — from several a day to perhaps a few a week on the timeframes we recommend. For a beginner wired by charts-as-entertainment, that feels like starvation. It isn't. It's the difference between a pub singer doing requests all night and a sniper who fires twice. Boredom, properly understood, is a market condition you're being paid to endure; the trader who can't wait for price to reach a level will always be undercut by the one who can. And waiting is easier when it's structured: mark your levels *in advance*, during calm, and write down what pattern evidence you'd want to see at each. Then the market's job is simply to come to you — or not. Most days, not. Fine. The notebook from Chapter 9 will show you, in your own handwriting, that the trades you declined in space were mostly trades worth declining. That page, when you finally read it, buys more patience than any pep talk we could write here.

> **CHAPTER 6 IN ONE SENTENCE:**
>
> A candle pattern is a test result and a level is the hypothesis it tests — so patterns at meaningful levels carry real evidence while identical patterns in open space carry none, and learning to decline the latter is the hardest, highest-paying skill in this book.

Chapter 7 — Candlestick Confluence With Structure and Trend

Zooming out: the market's skeleton

Chapters 1 to 5 taught you to read individual candles. Chapter 6 taught you to demand an address. This chapter adds the third layer: the *direction of the whole market* — structure and trend — so your candle reads stop being isolated observations and start being moves in a game you understand.

Market structure is the skeleton beneath the candles. An uptrend is a sequence of higher highs and higher lows: each rally exceeds the last peak, each pullback bottoms above the last trough. A downtrend is the mirror — lower highs, lower lows. When neither sequence holds, the market is ranging, and Chapter 6's level-to-level logic governs. Structure matters to a candle reader for a simple reason: it tells you which side has been winning the *war*, while candles tell you who's winning today's *battle*. Evidence from both, pointing the same way, is confluence — the polite word for "several independent reasons agreeing." Evidence pointing in opposite directions is a warning to stand down.



Figure. An uptrend's skeleton: higher highs and higher lows. Each pullback that bottoms above the prior low keeps the sequence intact — and each of those pullback lows is a natural address at which to look for bullish candle evidence.

The A-grade template: pullback plus signal

Put the three layers together and you get the workhorse setup of price action trading — worth describing carefully because most of what you'll do as a beginner is hunt versions of it.

An uptrend is in progress: higher highs, higher lows, visible on the daily chart. Price pulls back — normal, healthy; trends breathe just as Chapter 5 said. The pullback carries price into an address from Chapter 6's list: the prior swing high (broken resistance retested as support), a horizontal zone, or simply the region where the last higher low formed. And *there*, at that address, with the trend at its back, price prints one of your Chapter 3–5 patterns: a bullish pin rejecting the zone, or a bullish engulf overturning the pullback's last selling day.

Count the independent pieces of evidence now stacked. The trend says buyers have been winning for weeks. The location says this is a price where buyers acted before. The pattern says buyers are acting *right now*, in this candle, at this address. Trend, level, trigger. Three separate lenses, one conclusion. No single piece is remotely conclusive — trends end, levels break, pins fail — but the stack leans, and leaning probability plus controlled risk is the entire honest business model of technical trading. Anyone who tells you there's more to it than that is selling something shinier than the truth.

A worked illustration, framed as ever as technique and not a signal: suppose GBP/USD has printed higher highs and higher lows on the daily for two months. It pulls back for four sessions into the area of the last breakout — old resistance, now candidate support — and on the fifth session prints a bullish pin whose wick probes below the zone and closes back inside the trend. A price-action reader recognises the full template: trend context, meaningful address, rejection evidence, even a Chapter 3 stop-run flavour in that probing wick. This is what an A-grade read looks like. You will not see one every day. That's rather the point.

Counter-trend candles: veto first, trade almost never

What about strong candle evidence *against* the trend — a bearish engulf high in an uptrend, a bullish pin in a waterfall decline? Two rules, in order of importance.

First, use it as a **veto**. A bearish engulf at the top of an uptrend may not be worth shorting, but it is absolutely a reason not to be buying that day. Counter-trend candles are excellent brakes and poor engines. Treating them as brakes costs you nothing and saves you regularly.

Second, if you're ever to act on counter-trend evidence, demand a higher standard: not just a candle, but a change in structure to go with it. A single bearish pin in an uptrend is a skirmish. A bearish engulf that's followed by the market breaking a prior higher low — snapping the skeleton, printing its first lower low — is a change of character: the structural sequence itself has failed, and "counter-trend" is becoming "early in a possible new trend." Even then, beginners are better served waiting for the new structure to establish itself. The first reversal signal in a strong trend is usually early, and early, in trading, is a synonym for wrong. Trends are like gossip: they persist far longer than any reasonable person expects,

and the graveyard of trading accounts is full of people who were *eventually* right about the turn.

Timeframe agreement

One refinement completes the framework: read structure one timeframe above the one you trade. If your patterns live on the four-hour chart, take your trend and structure from the daily. This does two jobs. It stops you from fighting a higher-timeframe tide you never looked up to see — the classic beginner injury, long on a "perfect" four-hour pin directly into a daily downtrend. And it naturally aligns your setups with the flow of bigger money, since Chapter 1 established that higher-timeframe candles summarise more participants. The rhythm to build: daily chart for the war, four-hour for the battle, candle pattern for the moment. When all three agree, you have the confluence this chapter is named for. When they argue, the market is telling you something too — usually "not today."

> **CHAPTER 7 IN ONE SENTENCE:**
>
> Candle patterns reach full strength only when stacked with structure and trend — pullback to a level, signal with the trend behind it — while counter-trend candles serve best as vetoes until the structural skeleton itself breaks.

Chapter 8 — Entry, Stop and Target Placement From Candle Signals

From reading to acting

Everything so far has been reading. This chapter is grammar-to-speech: how a candle signal translates into an entry price, a stop price and a target — the three numbers that turn an opinion into a position. Housekeeping first, and it's non-negotiable: everything below is a framework to test on a demo account and adapt, not instructions to trade live. And every trade you ever take should risk only a small fixed fraction of your account — many traders use somewhere around 1% as a ceiling — because Chapter 9's whole review process assumes you survive your mistakes long enough to learn from them. Position size comes *from* the stop distance, never the other way round: decide the invalidation point first, then size so that being wrong costs your fixed fraction and no more. Traders who size first and place stops second have the process exactly backwards, and the market charges tuition for it.

Entries: three ways in

A completed signal candle — say a bullish pin at a support zone in an uptrend, our Chapter 7 template — offers three classic entry methods, each trading off price against confirmation.

Enter at the close. The moment the signal candle completes, in. Maximum simplicity, guaranteed participation if the move goes immediately — but the worst price of the three, and no further confirmation beyond the candle itself.

Enter on the break. A stop order just beyond the signal candle's high (for a bullish signal). You only get filled if buyers follow through, so the market must *continue* proving the read before your money is committed. Cost: a worse price than the close entry when it triggers, and a miss if price never breaks the high — which, note, is the pattern declining to confirm, i.e. a free escape.

Enter on the retrace. A limit order partway back into the signal candle — around the mid-point of a pin bar is the classic. Best price of the three and the tightest stop distance, hence the biggest position for the same risk. Cost: price often doesn't come back, and you watch the move leave without you.

Which is "best"? Wrong question — they're temperaments, not rankings. The close entry suits traders who hate missing moves; the retrace entry suits traders who hate bad prices; the break entry suits traders who want the market to keep proving itself. What matters is that you pick one, define it exactly, and apply it consistently for long enough that your

Chapter 9 journal can tell you how *your* entry behaves in *your* setups. An entry method changed weekly is not a method; it's a mood.

Stops: placing the "I'm wrong" line

A stop-loss is not an admission you might be wrong; it's a pre-agreed definition of *what wrong looks like*, written in price. For candle signals the logic is beautifully clean, because the candle itself defines its own invalidation: a bullish pin's entire premise is that the low of that wick was rejected. If price trades back below that low, the rejection has failed — the premise is dead, and there's no reason to be in the trade. So the stop belongs beyond the signal candle's extreme: below the pin's low, below the bullish engulf's low, beyond the mother bar for an inside-bar break.

Now the crucial refinement, paid for in Chapter 3: **not at the extreme — beyond it, with a buffer.** You know what lives just past obvious wick-lows: stop clusters, and wicks that hunt them. A stop placed one pip under a prominent pin low at an obvious support zone is a donation waiting to be collected by exactly the probe-and-reverse behaviour this book taught you to read. Give the stop room — beyond the zone, not just the wick; a spread-plus-noise buffer sized to the timeframe (chunkier on dailies than on four-hour charts). Yes, a wider stop means a smaller position for the same fixed risk. Accept that trade-off every time. A slightly smaller position that survives the stop run beats a larger one that dies in the wick, and over a journal's worth of trades the difference is not subtle.

Targets and the arithmetic of R

Targets come from the same map you've been using all book: the next meaningful opposing level. Long from support, the natural target is the next resistance or the prior swing high — the next address where opposing orders plausibly wait. Not a hope, not a round number of pips: a location with a reason.

Then, before entry, run the arithmetic that decides whether the trade deserves to exist. Call the distance from entry to stop 1R — one unit of risk. Measure entry to target in the same units. If the sensible target sits 2R away, the trade risks one to make two: it can be wrong more often than right and still make sense across a series. If the honest target is 0.6R away — the level is simply too close — the trade needs to win heavily just to tread water, and the correct decision is usually to decline it *before* entry. This is the quiet discipline that separates journals that compound from journals that bleed: bad reward-to-risk kills accounts slowly and politely, and it's fully visible in advance.



Figure. A trade mapped in R: stop distance defines one unit of risk, and the target sits two units away. Measuring every candle setup this way before entry turns 'is this a good pattern?' into the better question — 'is this a good trade?'

One more honest note: a 2R target is not superior to a 1.5R target as a law of nature — the target should sit where the *level* is, and the R multiple simply tells you whether that journey compensates the risk. Frameworks, remember, not commandments. Your journal decides what works for you; which brings us, at last, to the journal.

CHAPTER 8 IN ONE SENTENCE:

The signal candle defines the whole trade — entry at its close, break or retrace; stop beyond its extreme with a stop-run buffer; target at the next real level — and the R arithmetic between those numbers decides whether the trade deserves to exist at all.

Chapter 9 — Journalling and Reviewing Your Price-Action Reads

Why the journal is the actual course

Here's an uncomfortable truth to finish on: this book cannot make you a price-action trader. It can only make you a price-action *student* with a decent syllabus. The thing that turns study into skill is feedback — thousands of small loops of *predict, observe, compare, adjust* — and the only place those loops live is a journal. Reading about pin bars is knowledge. Discovering, in your own records, that your pin-bar reads at broken-level retests were mostly right while your counter-trend reads were expensive fantasies — that's skill, and it cannot be bought, downloaded or skipped. Every profession that manages risk under uncertainty reviews its own decisions on paper: pilots debrief, surgeons audit, football analysts tag every match. Retail traders, mostly, don't — which goes some way to explaining retail results.

The journal also solves a subtler problem: memory is a liar with an agenda. Untracked, you will remember your wins vividly, misremember your losses as bad luck, and construct a flattering highlight reel that no honest dataset would support. The journal is the Opta feed to your inner pundit. The pundit says "I'm good at catching reversals." The data says you've recorded eleven counter-trend reads and nine failed. One of those two voices deserves your account.

What to record: reads, not just trades

Most journalling advice covers trades — entry, exit, profit, loss. Necessary, not sufficient. For this course's skill, you journal *reads*, including — especially — the ones you never traded. Chart work from Chapters 3 and 5, patterns you declined in space (Chapter 6), vetoes you honoured (Chapter 7): all of it is data about your reading, and your reading is the asset under construction.

A complete entry needs less than you'd think, but every field earns its place:

The screenshot, taken at decision time. Non-negotiable, and it must be captured *before* the outcome exists — a screenshot taken afterwards is contaminated by hindsight, which will quietly redraw your levels for you. Mark the level, the pattern, the structure.

The written read. Two or three sentences, plain English, present tense: "Daily uptrend intact. Bullish pin at prior breakout zone, wick probed below and closed back in. Reading this as trend continuation evidence." If you can't write the read in three sentences, you don't have a read — you have a mood.

The grade, assigned in advance. A-grade: trend, level and signal all aligned — the full Chapter 7 stack. B-grade: two of three. C-grade: pattern alone. Grade *before* the outcome, then never revise it. The entire point is to learn whether your grading predicts anything.

If traded: the three numbers and the result in R. Entry, stop, target from Chapter 8, and the outcome measured in R, not pounds — R makes trades comparable across position sizes; money invites emotion into a data table.

One honest line about state. Tired, bored, revenge-hungry, serene. It'll feel pointless for a month, and then a pattern will surface — most traders discover their worst entries share a mood, not a setup — and that single line will have paid for the whole habit.

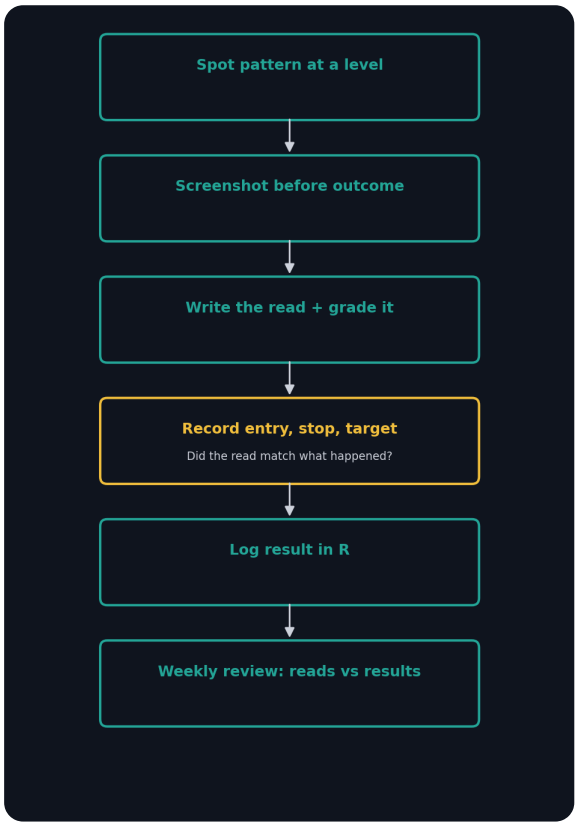


Figure. The journalling loop. The engine is the final question — comparing each written read against what actually happened — because that comparison, repeated weekly, is where chart time turns into reading skill.

The review: where the learning actually happens

A journal that's written but never reviewed is a diary. The review is the point. Weekly, twenty to thirty minutes, same time each week so it survives contact with real life: reopen every entry, put the decision-time screenshot beside the how-it-ended screenshot, and ask the loop's engine question — *did the read match what happened?* Four honest outcomes: right read, rewarded; right read, unlucky; wrong read, punished; wrong read, bailed out by luck. Learn to file every entry into one of those four, because the third and fourth teach the most and flatter the least — a wrong read that made money is still a wrong read, and it will invoice you later if you let the profit launder it.

Then monthly, zoom out and interrogate the dataset. Do A-grades actually outperform C-grades? (If not, your grading — your *judgement* — needs recalibrating, and that's the most valuable sentence a journal can ever say to you.) Which pattern do you read best — pins, engulfs, inside bars? Which address? Are your losses controlled at roughly -1R, or do outliers reveal stop-tampering in the moment? Is there a mood signature on your worst entries? Fair warning about sample size: five reads prove nothing, twenty hint, fifty begin to speak. Draw conclusions slowly. The journal rewards patience exactly the way the market does.

The long game

Journalling is unglamorous, which is precisely why it works — the edge nobody wants is the edge nobody competes for. Six months of honest records will do more for your candle reading than six years of scrolling charts, because the loop closes: every pin bar you graded, every space-pattern you declined, every stop-run that clipped a buffer you'd placed well, becomes a data point in the only study that matters — the study of *you*, reading *this* market, with *your* nervous system. This book gave you the vocabulary: bodies and wicks, momentum, indecision, rejection; pins, engulfs, inside bars; levels, structure, confluence; entries, stops, R. The journal is where you learn to speak it fluently. Keep the notebook. Do the reviews. Go slowly, risk small, and let the evidence — always the evidence — do the talking.

> **CHAPTER 9 IN ONE SENTENCE:**
>
> A journal of screenshots, written reads, pre-assigned grades and results-in-R — reviewed weekly against the question "did the read match what happened?" — is the feedback loop that turns this book's vocabulary into actual reading skill.

The One-Page Version

1. **A candle is an auction summary.** The body shows who won, the wicks show how hard the loser fought, and the close — where the candle finished within its own range — is the verdict that matters most.
2. **There are only three candle families.** Momentum (big body, conviction), indecision (small body, a draw) and rejection (dominant wick, a refusal). Sort every candle into one; skip the fifty-pattern encyclopaedia.
3. **A pin bar's wick is a receipt for a failed attack.** Long wick, small body at the far end, closing against the probe — often the footprint of a stop run that handed liquidity to bigger players.
4. **An engulfing bar overturns yesterday's verdict and traps its backers.** It's strongest after a directional move, at a meaningful level, with a decisive close near the extreme.
5. **Inside bars are compression, not prediction.** Mark the mother bar's high and low as tripwires, plan for the break *and* the false break — the failed break is often the better information.
6. **The address outranks the pattern.** A signal at a level the market has defended is evidence; the identical signal floating in space is nothing. Declining pretty patterns in empty space is the highest-paying skill in the book.
7. **Stack three lenses before acting: trend, level, trigger.** Structure says who's winning the war, the level says where orders live, the candle says who's acting now. Counter-trend candles are vetoes, not invitations, until structure itself breaks.
8. **The signal candle defines the trade.** Enter at its close, on the break, or on the retrace — pick one and stay consistent; stop beyond its extreme with a buffer for stop runs; target the next real level; size from the stop, never the stop from the size.
9. **Do the R arithmetic before entry.** If the honest target doesn't pay a sensible multiple of the risk, the correct trade is no trade.
10. **Journal reads, not just trades.** Screenshot before the outcome, write the read, grade it in advance, log results in R, and review weekly — memory flatters; the journal doesn't, and the journal is what makes you better.

Test Yourself — 15 Questions

1. On a single candlestick, what does the body represent? A) The full range of the session B) The distance between the open and the close C) The distance between the high and the low D) The average traded price

2. Why do experienced price-action traders wait for a candle to close before drawing conclusions? A) Spreads are lower at the close B) Brokers only fill orders at the close C) The close is the verdict — a candle can change its meaning entirely before it completes D) Wicks are only drawn after the close

3. A candle with a large body and tiny wicks belongs to which family? A) Indecision B) Rejection C) Momentum D) Reversal

4. A doji forms in the middle of a sideways range. The most honest reading is: A) A strong reversal signal B) Effectively no information — indecision is the default state inside a range C) A guaranteed breakout is imminent D) Buyers are trapped

5. Which of these makes a bullish pin bar candidate WEAKEST? A) The wick is two-thirds or more of the range B) The candle closes near its high C) The wick protrudes beyond surrounding candles D) The wick sits entirely inside the previous candle's range

6. A long wick that spikes through an obvious support level and closes back above it is best read as: A) Proof the level is broken and worthless B) Evidence the level survived a genuine attack — often a stop run that supplied liquidity to larger buyers C) A reason to place stops exactly at the level next time D) A data error from the broker feed

7. What gives a bearish engulfing bar its force, according to this course? A) Its colour B) Ancient Japanese tradition C) It traps every buyer from the previous candle's body, whose exits become future selling D) It always coincides with news events

8. An inside bar tells you which of the following? A) The direction of the next move B) That volatility is contracting and an expansion is likely — direction unknown C) That the trend has definitely ended D) That volume has increased

9. Price breaks an inside bar's mother-bar high, is immediately rejected, and drives out the bottom of the pattern. The course's reading: A) The pattern was fake and should be ignored B) The upside was tried and failed — often better directional information than a clean break C) Inside bars never work in forex D) The mother bar must be redrawn

10. A textbook-perfect bullish pin forms 40 pips above a demand zone, rejecting no identifiable level. The disciplined response is: A) Take it — the anatomy is perfect B) Take half the usual size C) Treat it as no information and decline it — it's a pattern in space D) Wait one candle, then take it

11. Why does "level plus pattern" beat either alone? A) Two signals always double the win rate B) The level is the hypothesis and the candle is the live test result confirming it C) Levels are only visible when patterns form D) Patterns redraw the level in the right place

12. In a strong daily uptrend, a bearish engulfing bar prints at the highs. Per this course, its best immediate use is: A) An instruction to short at market B) A veto — a reason not to be buying, rather than an invitation to sell C) Proof the uptrend will continue D) A reason to widen your stops on longs

13. For a bullish pin bar signal, where does the stop-loss logically belong? A) Exactly at the pin's low, to the pip B) At the pin's midpoint C) Beyond the pin's low and the zone, with a buffer against stop runs D) At the previous day's open

14. Entry to stop is 25 pips; the next meaningful opposing level is 50 pips away. This trade offers: A) 0.5R — decline it B) 2R — the target pays two units for every one risked C) 4R — take double size D) No measurable ratio

15. Why does this course insist you grade each setup BEFORE the outcome is known? A) Brokers require it B) It saves time at the weekly review C) So you can test whether your judgement actually predicts results, free of hindsight D) Grades assigned afterwards are more accurate

Answer Key

1. B — The body is drawn from open to close; the wicks cover the rest of the range.

2. C — Halfway through a session, a bearish-looking bar can finish as a bullish rejection candle; the information is in the finish.

3. C — Big body, small wicks: one side controlled the auction from open to close, which is the definition of a momentum candle.

4. B — A doji signals pause, and inside a range pausing is the default; it carries meaning mainly when it interrupts a strong trend at a level.

5. D — A wick contained inside the previous candle's range hasn't probed anywhere new, so it has rejected nothing the market was defending.

6. B — A level that holds after being probed has survived a real attack; the wick is often the footprint of stops being collected as liquidity.

7. C — The engulfing close puts every buyer from the swallowed body underwater; their exits queue up as future selling pressure.

8. B — The inside bar records compression; it hands you tripwires at the mother bar's extremes but never the direction in advance.

9. B — A failed break shows one resolution was tested and rejected in real time, trapping the breakout traders and revealing the path of least resistance.

10. C — Without a defended level, the wick rejected nothing; the course's rule is to evaluate the address before the candle.

11. B — The level supplies a theory about where orders live; the pattern is that theory passing a live test — a prediction and its confirmation, not two added signals.

12. B — Counter-trend candles are excellent brakes and poor engines; acting against a trend demands a structural break as well, not one candle.

13. C — The pin's premise dies below its low, but stops placed exactly there feed stop runs; buffer beyond the wick and the zone.

14. B — Target distance divided by stop distance: 50/25 = 2R, meaning the trade risks one unit to seek two.

15. C — Grading before the outcome keeps hindsight out; the monthly review then reveals whether A-grades genuinely outperform, which calibrates your judgement.

Appendix — The Glossary, in Plain English

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Playbook 3 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
- **The tools** — position size, risk and pip calculators: pip-insight.co.uk/free.

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